

SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure. [DR pp. 25-32]

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite 8% Route 9%	We use 8% for onsite systems because growth combines installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. We use 9% for route processors because density, cross-sell and treatment throughput offer modestly more upside. Source: DR pp. 4-5, 9-11, 25, 27.	MEDIUM
EBITDA margin	Onsite 21% Route 28%	The 21% onsite estimate is mechanism-based because RTI has no standalone margin disclosure. The 28% route estimate is set below historical S&P commentary citing LES margins above 30%, allowing for dated evidence, mixed services and third-party disposal. Source: DR pp. 5, 10-11, 26, 28.	MEDIUM-LOW
Maintenance capex / revenue	Onsite Not estimated Route 5.0%	Onsite is not estimated because no company discloses a sustaining-capex split for tanks, pumps, filtration, monitoring and vehicles. The retained 5% route estimate reflects observable vacuum fleets and treatment plants, but remains modeled. Source: DR pp. 4-5, 9-11, 20-22, 26, 28.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Onsite Not est. / 9 yrs Route Not est. / 7 yrs	Initial legal terms are not estimated because no company publishes a standard contract term. The retained nine-year onsite and seven-year route values are modeled effective tenures based on embedded equipment, recurring compliance, reliability and bundled service. Source: DR pp. 5, 26, 28.	MEDIUM
Utilization exposure	Onsite Moderate Route Moderate-High	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution. Source: DR pp. 4-5, 9-11, 20-22, 26, 29.	MEDIUM
New-unit / customer payback	Onsite 2.5 yrs Route 1.25 yrs	The 2.5-year onsite estimate allows recovery of hardware, installation and route support from the full customer relationship. The 1.25-year route estimate applies only to an incremental customer added within an existing dense market. Source: DR pp. 4, 6, 27, 29.	MEDIUM-LOW
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center. Source: DR pp. 27, 29-30.	HIGH

SUBSECTOR
CATEGORIES

Installed onsite oil systems
Restaurant Technologies

Commercial liquid-waste routes
Liquid Environmental Solutions / Waste Resources
Management

Diversified wastewater services
Wind River Environmental

Restaurant Technologies

INSTALLED ONSITE OIL SYSTEMS

Evidence. 45,000-plus kitchens, 41 depots and 1,200-plus employees; about 60% of 2022 revenue was QSR-related. [DR pp. 3-8]
Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems.
Economics. Analyst interpretation. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn. Capital funds onsite systems, vehicles, and depots.

Liquid Environmental Solutions

COMMERCIAL LIQUID-WASTE ROUTES

Evidence. Historical S&P credit commentary cited margins above 30%; treat this as dated, not a current disclosed margin. Current materials cite 1,020 employees, 670 vehicles, 95 facility/partner sites and 129,500 locations. [DR pp. 9-13]
Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance.
Economics. Analyst interpretation. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts. Poor service, pricing, dense rivals, or partner dependence create churn/margin risk.

Waste Resources Management

COMMERCIAL LIQUID-WASTE ROUTES

Evidence. 10,000-plus clients, four states and 300-plus employees; a 2026 deal adds 13 metros. [DR pp. 14-19]
Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites.
Economics. Analyst interpretation. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.

Wind River Environmental

DIVERSIFIED WASTEWATER SERVICES

Evidence. 1,100-plus experts, 1,000 vehicles, 100 teams, 16 states, 90-plus acquisitions and 16 plants processing 200 million-plus gallons. It is the only benchmarked operator with explicit residential and commercial service lines. [DR pp. 20-24]
Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks.
Economics. Analyst interpretation. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn. Its varied fleet/plants create density but heavy maintenance and mixed-business exposure.

KEY DILIGENCE
QUESTIONS

1 Obtain standalone revenue, EBITDA and organic growth for all four private businesses.

2 Confirm contract forms, renewal mechanics and customer churn by service line.

3 Build maintenance capex by onsite systems, vehicles, treatment plants and safety assets.